Lecture Notes, Week 9: Constitutional Choice

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Wednesday, October 14 and Friday, October 16, 2026

What these notes cover: the Wednesday and Friday lectures of Week 9, in both sections. Week 8 asked why people vote; Week 9 asks how many people must agree before a group can act. On Wednesday, the theory: a majority is an interested party that can make a minority pay (Tocqueville), and unanimity protects everyone but is ruinously costly to reach. Every decision rule trades the cost of reaching agreement against the cost of what the group can do to you, and nothing puts the best rule at 50 percent plus one. The U.S. Constitution uses different rules for different decisions. On Friday, applications of the same trade-off: why central planning and democracy do not mix (Hayek), how big the House of Representatives should be, and why corporate boards stay small and do best with one goal. The unit ends on Monday, October 19, with the constitutions that condominiums, towns and American Indian tribes chose.

Readings: Required: Tocqueville, *Democracy in America*, vol. I, ch. XV, "Unlimited Power of the Majority, and Its Consequences" (1835). Optional, in the Week 9 folder of the class repository: Buchanan and Tullock, *The Calculus of Consent* (1962), ch. 6; Jefferson's First Inaugural Address (1801); Barzel and Sass (1990) and Rouanet and Piano (2022), for Monday. Background for Friday: Hayek, *The Road to Serfdom* (1944), ch. 5, "Planning and Democracy." **There was no quiz on Friday. AI Dialogue 2 (Tocqueville) is due Friday, October 16, at 11:59 pm, by email.** Midterm 2 is Monday, October 26; a study guide will be posted on GitHub.

Lecture	Topic	Sections
Wednesday, October 14	The tyranny of the majority and the calculus of consent	1–12
Friday, October 16	Planning, the size of the House, and corporate boards	13–22

Wednesday, October 14: The tyranny of the majority and the calculus of consent

A majority can vote to make a minority pay, so the rule for deciding matters more than any single decision. Wednesday started from unanimity, under which no one can be made worse off without consent, and found its price: every member holds a veto. Every decision rule trades decision-making costs against external costs, and the best rule sits where their sum is lowest. Nothing puts that point at one half, which is why the Constitution asks for different majorities for different decisions.

1. Who pays for the pizza?

- The class orders pizza for everyone and pays as a group. A proposal: six of the 30 students pay the whole bill, and the other 24 pay nothing. It could pass 24 to 6.
- Set fairness aside: the rule is wasteful. The 24 who pay nothing keep eating until the last slice is worth almost nothing to them, though every slice costs the six the same.
- Now change the question. Before you know whether you will be one of the six, what rule would you agree to for every vote of this kind? (In the 12:50 section: behind a **veil of ignorance** about your own position.) Deciding a proposal is one choice; choosing the rule under which proposals are decided is another. Not knowing where you will stand, few would accept a rule that lets any majority make any minority pay for everything.
- The Constitution contains such a rule. The Fifth Amendment: "nor shall private property be taken for public use, without just compensation." Without it, a stable majority could take your land for a highway and pay nothing, and nobody would improve land that could be taken at any moment.
- A student's analogy (11:45 section): the military draft. A volunteer army is paid for with everyone's taxes; a draft puts the cost on the draftees, while voters too old to serve still vote.

2. Tocqueville and the tyranny of the majority

- Alexis de Tocqueville (1805–1859), a French aristocrat, traveled the United States in 1831–32 and published the first volume of *Democracy in America* in 1835.
- Tocqueville, ch. XV: "A majority taken collectively may be regarded as a being whose opinions, and most frequently whose interests, are opposed to those of another being, which is styled a minority. If it be admitted that a man, possessing absolute power, may misuse that power by wronging his adversaries, why should a majority not be liable to the same reproach? Men are not apt to change their characters by agglomeration; nor does their patience in the presence of obstacles increase with the consciousness of their strength."
- **Tyranny of the majority**: a majority using its power to harm those who lost the vote. A majority is a party

with interests of its own, not "the people," and people do not become better by gathering in numbers. That last point is Week 8's behavioral symmetry.

- Tocqueville's target is unlimited power, whoever holds it: a king, a parliament, or a majority. This is the classical liberal position, "liberal" in the European sense: limited government, free markets, and the rule of laws rather than of men. On this view voting is valuable as a protection of liberty, and it can itself become a threat to liberty.
- Does a rule that stops the majority limit the majority's freedom (a student's objection, 12:50 section)? On the classical liberal view, liberty is *equal* liberty: each may do as he likes short of harming others. The freedom to make the minority pay for your pizza is not liberty but license, since it denies the minority the same freedom.
- Thomas Jefferson, First Inaugural Address (1801): "All too will bear in mind this sacred principle, that though the will of the majority is in all cases to prevail, that will, to be rightful, must be reasonable; that the minority possess their equal rights, which equal laws must protect, and to violate would be oppression."

3. Why 50% + 1?

- Tocqueville and Jefferson accept majority rule and fear it, yet neither asks why the line sits at one half rather than at 50 percent plus two, or at two-thirds.
- Answers in class: it is the smallest share that can decide; it produces the most good for society; it upsets the fewest people. Replies: the pizza vote wins a majority and still wastes resources; a two-thirds rule leaves at most a third unhappy with any law that passes; and Week 8's impossibility theorem says there is no reliable way to add up individual preferences into "the good of society."
- Another answer (12:50 section): one half is a **Schelling point**, a focal rule everyone can agree on because it is obvious, as 67.52 percent is not. But many rules are not one half. Amending Florida's constitution by ballot takes 60 percent of the voters, and the U.S. Constitution needed nine of thirteen states.

4. Unanimity as the benchmark

- A **decision rule** says how many members of a group must agree before the group acts. **Majority**: more than half. **Supermajority**: a larger share set in advance, such as two-thirds. **Unanimity**: everyone.
- A voluntary trade is unanimity between two. If I buy a student's computer, both of us said yes, so both of us expect to gain.
- Under unanimity nobody can be made worse off without consenting. A policy that helps everyone but one person can still pass if the winners pay the loser enough to say yes (Wicksell, 1896).
- The objection raised in class: a holdout can hold the whole group hostage and demand a large payment for his yes. That objection is right, and it is the first of the two costs below.

5. Unanimity in practice

- **The jury.** A criminal conviction needs every juror: in federal courts by rule (Fed. R. Crim. P. 31(a)), and in state courts since *Ramos v. Louisiana* (2020). Some guilty people go free; we accept that to avoid convicting the innocent.
- **The liberum veto.** In the parliament (Sejm) of the Polish–Lithuanian Commonwealth, one deputy could block a law or break up the whole session. Foreign powers bribed deputies to do it: a veto anyone holds is a veto anyone can buy. The Constitution of 3 May 1791 abolished it, too late: Russia, Prussia, and Austria partitioned Poland in 1772, 1793, and 1795.
- **The Articles of Confederation.** Any change needed Congress and then the legislature of every state (Art. XIII). Congress twice asked for a 5 percent duty on imports to pay the war debt: Rhode Island killed the first in 1782, New York the second in 1787.
- The Constitution moved away from unanimity but not to a majority: nine of thirteen state conventions (69 percent) sufficed to ratify it, and it bound only the states that ratified (Art. VII).

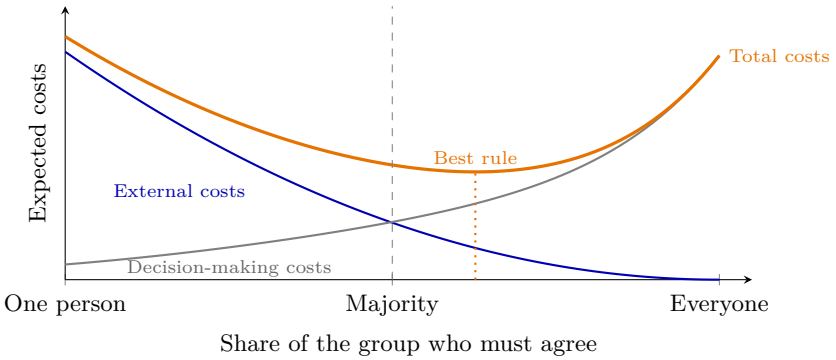
6. Two costs of collective decisions

- **Decision-making costs**: the time, effort, and bargaining it takes to get enough members to agree. Two friends choose a restaurant quickly; seven take a while; twenty-five end up letting one person pick. Under unanimity every member can hold out for a better deal. These costs rise with the number who must agree, steeply near everyone, and they are lowest when one person decides alone.
- **External costs**: the harm you expect from what others decide that you cannot stop. A single ruler can take whatever he wants from everyone else. As more people must agree, there is less the deciders can do to you, and under unanimity nothing passes without your yes.

– Tullock's farmers (12:50 section): 100 farmers repair their local roads by majority vote, paid by a tax on all 100. A majority of 51 can vote to repair their own roads and leave the other 49 paying for roads they do not use. Each farmer in the majority is behaving rationally; the roads end up repaired more, and at greater expense, than their users would choose if they paid the bill themselves.
– Neither cost alone settles the rule. On decision-making costs alone, a dictator wins; on external costs alone, unanimity wins.

7. Choosing a decision rule

– James M. Buchanan and Gordon Tullock, *The Calculus of Consent* (1962), ask: which rule would you choose for your group before you know which side of future votes you will be on? "Calculus" here means a reckoning of costs.
– Add the two expected costs for each possible rule. The best rule is where the sum is lowest (figure). The shapes are illustrative: nothing in them puts the lowest point at the majority line.



– Buchanan and Tullock (1962, p. 81): "[O]n a priori grounds there is nothing in the analysis that points to any uniqueness in the rule that requires a simple majority to be decisive. [. . .] On balance, 51 per cent of the voting population would not seem to be much preferable to 49 per cent."
– **Higher stakes, more agreement.** When a decision can do more damage to you (your liberty, your property, the constitution itself), external costs rise and the best rule moves toward everyone. A jury decides whether someone else goes to prison; the jurors do not bear that cost, so we ask for unanimity.
– **Costlier agreement, fewer deciders.** When decision-making costs rise, as when decisions must be made fast, the best rule moves toward a majority or even below it. The Roman Republic named a dictator in emergencies, for at most six months. Article 16 of the French Constitution of 1958 gives the president emergency powers; it has been used once, by de Gaulle, after the generals' putsch in Algiers in April 1961.

8. The Constitution's menu of decision rules

Decision	Share who must agree
Convict a criminal (the jury)	100%
Take a state's seats in the Senate	100% (the state must consent; Art. V)
Amend the Constitution	2/3 of each house, then 3/4 of the states
Ratify the Constitution (1787–88)	9 of 13 states (69%)
Convict on impeachment; ratify a treaty	2/3 of senators present
Override a presidential veto	2/3 of each house
End a filibuster on a bill	60 of 100 senators
Pass a bill	50% + 1 of each house, plus the president's signature

– The share required climbs with the stakes. Majority is the floor of the menu, not the rule.

9. Two houses, two majorities

– A bill must pass a House chosen by population and a Senate chosen by state, and then survive the president's veto. When the two chambers answer to different voters, a law in effect needs much more than a bare majority behind it.
– Bug or feature? Gridlock frustrates. But a special interest that captures one chamber, or a temporary majority swept up by a passion, still has to win the other two; and a law passed with broad agreement is not repealed the next year, so the law is more stable.
– James Madison, *Federalist* No. 10 (1787): "When a majority is included in a faction, the form of popular government,

on the other hand, enables it to sacrifice to its ruling passion or interest both the public good and the rights of other citizens." Majority rule defeats a minority faction; nothing in majority rule stops a majority faction.

10. Constitutions beyond government

- Firms, condominiums, and homeowners' associations write constitutions too, with their own voting rules. A corporate charter that let majority shareholders expropriate minority shareholders would scare off investors who expect to be in the minority, and raise the firm's cost of capital (12:50 section). Friday looks at condominiums.

11. A continental republic and the Electoral College

- The republics before 1787 (Rome, the Dutch Republic) had been small. The United States spanned a continent. The Founders had to keep any state or region from concluding that the union did nothing for it and leaving.
- The Electoral College: each state casts electoral votes (538 in all), and the national popular vote does not decide. No region has enough electoral votes to elect a president alone, so a winner must carry states in more than one region (Posner, 2012). A state's electoral votes equal its House seats plus its two senators, so small states weigh more than their population: Wyoming's two senators count as much as California's. A real say for small and distant states gave them a reason to join the union and to stay in it.
- Election fraud (Egorov and Sonin, 2026). Under a national popular vote, a party bent on fraud would stuff ballot boxes in its strongholds, where it holds the local offices and the courts. Under the Electoral College, a stolen vote in a stronghold buys nothing, because the state is won anyway; it pays only in a swing state, where the other party also holds office and watches the count.
- Week 8's Rousseau said the general will is found by counting the votes. Who counts the votes matters too.
- Do these reasons still hold, with instant communication? That is open to debate. But when an institution has lasted, first ask what problem it solved; only then ask whether reforming it is worth the trade-off (12:50 section).

12. Private or collective?

- Why do we buy our own pizza but provide national defense collectively? Not because we "need" defense: every choice is a trade-off. The question is which way of deciding costs less.
- A private trade is unanimity between two: when I buy a computer, both of us said yes. It can still impose external costs on third parties, for example if making the computer pollutes someone's water. Collective provision brings decision-making costs and external costs of its own. Deciding what to decide collectively is itself a constitutional choice: make an activity collective only where the expected sum of the two costs is lower than when it stays private. For defense it probably is; for pizza it is not.

Friday, October 16: Planning, the size of the House, and corporate boards

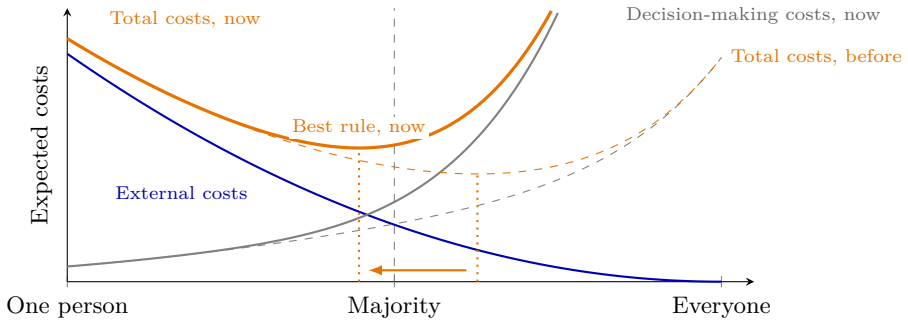
Friday applied Wednesday's trade-off three times. When the state plans the economy, decision-making costs explode, and decisions drift from assemblies to experts and the executive. In a legislature, a bigger chamber gives each member less reason to do the work and moves power to the leaders. In a firm, the board stays small, and a single goal keeps its disagreements few.

13. Central planning and democracy

- Friedrich A. Hayek, *The Road to Serfdom* (1944), written in London during World War II, when wartime planning had greatly expanded the state. His thesis: central planning is incompatible with democracy.
- **Central planning**: having economic decisions made by the government instead of by people trading in decentralized markets.
- First reason, at the limit: if the state owns all the paper and all the printing presses, freedom of the press survives only nominally. A newspaper that annoys the government cannot get paper to print on.
- Second reason, in Wednesday's terms: a government that plans the production of millions of goods for millions of people must make billions of decisions. An entrepreneur adjusts his business every day; a committee is not nimble. An assembly that must agree on all of it faces enormous decision-making costs.
- Hayek (1944, ch. 5): "The inability of democratic assemblies to carry out what seems to be a clear mandate of the people will inevitably cause dissatisfaction with democratic institutions. Parliaments come to be regarded as ineffective 'talking shops,' unable or incompetent to carry out the tasks for which they have been chosen. The conviction grows that if efficient planning is to be done, the direction must be 'taken out of politics' and placed in the hands of experts—permanent officials or independent autonomous bodies."

14. When agreement gets harder

- Planning makes every agreement costlier, and more so the more people must agree: the decision-making cost curve rises and gets steeper. Each extra person whose agreement is required now costs more to win over than that agreement saves, so the best rule moves toward fewer deciders, possibly below a majority (figure). Decisions pass to experts, agencies and the executive: representative democracy becomes impractical.



- Hayek (1944, ch. 5): agreement that a plan is needed, combined with assemblies unable to produce one, "will evoke stronger and stronger demands that the government or some single individual should be given powers to act on their own responsibility."
- Does the size of the country matter (a student's question, 12:50 section)? It depends on what the government does. Small units can afford direct democracy: in two small Swiss cantons, Glarus and Appenzell Innerrhoden, citizens still meet in the open air and vote by show of hands. But a canton that nationalized everything could not keep deciding that way.

15. The evidence: Hayek's empty box

- Benzecry, Reinarts and Smith (2025, *Public Choice*) place every country in every year from 1789 to 2021 on two scales from V-Dem (Varieties of Democracy): political civil liberties (the freedom to form parties and associations and to speak), from 0 to 1, against state ownership of the economy, from 0 (the state owns virtually all capital) to 4 (almost all of it is private).
- Hayek's claim says the corner with high civil liberties (0.75 or more) and a state that owns most of the economy (1 or less) should be empty. It is, but for one country-year: Belarus in 1991, as the Soviet Union collapsed. Under Alexander Lukashenko, president since 1994, Belarus has not been free.

– Across the rest of the chart, more private ownership goes with more political freedom.

16. Necessary, not sufficient

– Does capitalism guarantee political freedom? No. Hong Kong and Singapore rank first and third in the world for economic freedom, yet Freedom House rates both only "Partly Free." Pinochet's Chile (1973–90) had free-market policies under a military government.
– The claim runs the other way: if you want political freedom, do not let the state own the economy. Milton Friedman, *Capitalism and Freedom* (1962): "History suggests only that capitalism is a necessary condition for political freedom. Clearly it is not a sufficient condition."

17. How big should the House be?

– The Constitution gave the First Congress 65 representatives. After the first census the House had 105 seats, about 34,000 people per member. It grew with the country until 1913 and has had 435 seats since; the Permanent Apportionment Act of 1929 froze that number. Today each member represents 761,169 people on average, 22 times as many as in 1790.
– The proposal: Drutman, Cohen, Levin and Ornstein, *The Case for Enlarging the House of Representatives* (American Academy of Arts and Sciences, 2021), would add 150 seats (435 to 585) and then grow the House after every census so that no state loses a seat. "[T]he current size of the House seems to offer the worst of both worlds. The House is not small enough to function as a reasonably deliberative body. Nor is it big enough to allow for a truly effective division of labor in policy-making, or for districts small enough to facilitate meaningful member-constituent connections."
– Arguments in class. For: a member who speaks for 761,169 people cannot know their local problems, and a smaller district is more likely to resemble its voters. Against: too many cooks in the kitchen. A question to test the first argument: a senator speaks for a whole state, far more people than a representative (except in the six states with a single House seat). Do you feel less represented by your senators?

18. Information free-riding, twice

– **Information free-riding**: each person leaves the costly work of learning to others, because his own share of the payoff is small. Week 8's rational ignorance is the voter's case.
– Among voters: a smaller district makes each vote a little more likely to decide. At 585 seats a district would hold about 566,000 people instead of 761,169, and one vote would still almost never decide an election. The gain is small.
– Among representatives: in a bigger chamber, each member's vote decides less, so a member has less reason to master the bills and more reason to follow the leaders, or to court attention online. A student added (11:45 section) that each member is also less accountable: it is Week 8's irresponsible voter one level up.
– James Madison, *Federalist* No. 58 (1788): "[I]n all legislative assemblies the greater the number composing them may be, the fewer will be the men who will in fact direct their proceedings. [. . .] The people can never err more than in supposing that by multiplying their representatives beyond a certain limit, they strengthen the barrier against the government of a few. [. . .] The countenance of the government may become more democratic, but the soul that animates it will be more oligarchic. The machine will be enlarged, but the fewer, and often the more secret, will be the springs by which its motions are directed."
– An example: in 1789 the Estates-General made itself France's National Assembly; by mid-July it had 1,177 deputies. Many deputies stayed away, and much of the work passed to its committees, out of public view.

19. Who holds the power in a big chamber?

– In a bigger House, power drifts up to the Speaker and the committee chairs, and out to the executive. Some argue that a bigger House would check the "imperial presidency"; on this logic it would do the opposite, since no single member would weigh enough to stand up to the president.
– One reading of why the Senate works better than the House: a senator is one of 100 (26 when there were 13 states), so each senator matters and has reason to do the work.
– The National People's Congress of China has about 3,000 deputies (2,977 elected in 2023) and meets for about a week a year; a Standing Committee of about 175 does most of the legislative work. A chamber that large is a reliable way for an autocracy to keep its parliament powerless. Piano and Rouanet (2024) note that "socialist countries typically have massive legislatures with more than 1,000 members."
– Legislatures grow much more slowly than population. France's National Assembly has 577 seats for about 68 million people; the U.S. House has 435 for about 340 million. Past some size, a chamber becomes too costly to run.

20. Corporate boards

- The same people with the same motives run firms (Week 8's behavioral symmetry), and firms face the same trade-off. A board of 500 directors would come to meetings unprepared, each leaving the homework to someone else. Michael Jensen (1993): "Keeping boards small can help improve their performance. When boards get beyond seven or eight people they are less likely to function effectively and are easier for the CEO to control."
- Shareholders free-ride too: watching the managers costs a small shareholder much and benefits every owner, so firms send shareholders reports for free (12:50 section).

21. One goal or many?

- A firm long had one goal: profit. It is measurable (profit is up or down), so the board can disagree only about the means. Boards often decide by broad consensus, as a norm rather than a rule, and a single goal makes consensus easier to reach.
- Add environmental and social goals (ESG) and every decision becomes a trade-off between goals, which directors value differently: profit against the climate, the climate against a social cause. Disagreement, and so the cost of deciding, rises. A manager who loses money can also say he served the other goals.
- Milton Friedman, "The Social Responsibility of Business Is to Increase Its Profits" (*New York Times Magazine*, 1970): there is "one and only one social responsibility of business—to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game." Government, a nonprofit body, sets those rules: no dumping chemicals in the river, no hiring children. Within them, a firm does best with one goal.
- The best amount of pollution is not zero. Driving a car pollutes, and the trip is worth some pollution. The problem is pollution whose cost falls on others, so that its social cost exceeds its benefit. Likewise the best amount of crime is not zero: more police and prisons would cut it further, at a cost greater than the gain (12:50 section).
- Two cases where many goals cost nothing extra. A consumer is a one-person committee: she can weigh the environment against price with no one to agree with. A firm with a sole owner that gives to charity is simply that owner giving to charity.

22. Opportunity cost and the poor

- What people in rich countries think helps the poor and what helps them can differ (12:50 section). A factory job in a poor country looks harsh by American standards, but the worker's alternative is worse; multinationals there tend to pay more than local employers.
- In 1993, when a U.S. bill threatened to ban imports made with child labor, Bangladesh's garment factories dismissed tens of thousands of children. UNICEF found that many ended up in worse work: breaking stones, scavenging, and some in prostitution.
- Two hundred years ago England and France faced the same choice. China's wages rose as foreign capital came in and firms competed for workers.